

**IN THE SUPERIOR COURT OF THE STATE OF CALIFORNIA
FOR THE COUNTY OF SAN FRANCISCO
CIVIL DIVISION**

NEXUS INFRASTRUCTURE GROUP, INC.,
Plaintiff,
v.
MERIDIAN CONSULTING PARTNERS, LLC,
Defendant.

Case No.: SC-2025-4471
Department: 14 — Honorable Judge Patricia A. Winslow
Filed: March 14, 2025
Hearing Date: April 22, 2025
Response Deadline: April 10, 2025

PROFESSIONAL SERVICES AGREEMENT AND SUMMONS

1. PARTIES TO THE AGREEMENT

This Professional Services Agreement (hereinafter "Agreement") is entered into as of March 1, 2025, by and between the following parties:

Plaintiff / Client: Nexus Infrastructure Group, Inc., a California corporation, with principal offices at 850 Montgomery Street, Suite 600, San Francisco, CA 94133 (hereinafter referred to as "CLIENT" or "PLAINTIFF").

Defendant / Consultant: Meridian Consulting Partners, LLC, a Delaware limited liability company, authorized to conduct business in California, with principal offices at 2200 Market Street, Suite 410, San Francisco, CA 94114 (hereinafter referred to as "CONSULTANT" or "DEFENDANT").

WHEREAS, CLIENT desired to retain the professional services of CONSULTANT for infrastructure planning and project management services; and

WHEREAS, CONSULTANT agreed to perform such services subject to the terms and conditions of this Agreement;

NOW, THEREFORE, in consideration of the mutual covenants and promises herein contained, the parties agree as follows:

2. SCOPE OF SERVICES

CONSULTANT agrees to exercise special skill and expertise to accomplish the following professional services (hereinafter "Services") in a manner reasonably satisfactory to CLIENT:

- Phase 1: Infrastructure feasibility assessment and site analysis for the proposed Bay Area Regional Transit Hub, encompassing environmental impact review, geotechnical evaluation, and stakeholder consultation.
- Phase 2: Preparation of detailed engineering specifications, cost estimation reports, and procurement documentation in compliance with California Public Contract Code Section 10115 et seq.
- Phase 3: Project management and oversight throughout design and pre-construction phases, including coordination with state and federal regulatory agencies.
- Phase 4: Final delivery of all work products, technical reports, and supporting documentation as specified in Exhibit A: Scope of Services (attached hereto and incorporated by reference).

The Services shall be performed in strict compliance with all applicable federal, state, and local statutes, ordinances, and regulations, including but not limited to the California Environmental

Quality Act (CEQA), Title 21 of the California Code of Regulations, and applicable FHWA requirements.

3. COMPENSATION AND PAYMENT TERMS

In consideration for CONSULTANT accomplishing the Services described herein, CLIENT agrees to compensate CONSULTANT as follows:

1. **Total Contract Value:** The maximum compensation payable under this Agreement shall not exceed SEVEN HUNDRED FIFTY THOUSAND DOLLARS (\$750,000.00), inclusive of all labor, materials, subconsultant fees, and reimbursable expenses, unless amended by written modification executed by both parties.
2. **Invoicing Schedule:** CONSULTANT shall submit detailed monthly invoices no later than the fifth (5th) business day of each calendar month for services rendered during the preceding billing period. Each invoice shall include: (a) staff names, hours charged, and hourly billing rates; (b) itemized task descriptions aligned to the project work breakdown structure; (c) cumulative charges-to-date; and (d) estimated percentage completion by task.
3. **Payment Terms:** CLIENT shall remit payment within thirty (30) calendar days of receipt of a properly submitted invoice. Invoices disputed in good faith shall be subject to the Dispute Resolution procedures set forth in Section 11 hereof.
4. **Final Invoice:** CONSULTANT's final invoice must be submitted within sixty (60) calendar days following written acceptance of the completed Services by CLIENT's Contract Manager. Failure to submit within this period shall constitute a waiver of any outstanding amounts.
5. **Prevailing Wages:** For personnel subject to prevailing wage requirements under the California Labor Code, all salary increases mandated by applicable prevailing wage rate determinations shall be reimbursed at actual cost, subject to prior written approval by CLIENT.

4. TERM AND SCHEDULE

This Agreement shall take effect on March 1, 2025, contingent upon prior approval by CLIENT's Board of Directors, and CONSULTANT shall commence work within five (5) business days of written notification to proceed issued by CLIENT's Contract Manager.

The Agreement shall terminate on February 28, 2027, unless extended by mutual written amendment or earlier terminated pursuant to Section 5 hereof. Time is of the essence with respect to all dates and deadlines specified in this Agreement and Exhibit A.

5. TERMINATION

5.1 Termination for Convenience

CLIENT may terminate this Agreement for its convenience, in whole or in part, at any time by providing CONSULTANT with thirty (30) calendar days' prior written notice. Upon receipt of such notice, CONSULTANT shall immediately cease incurring new obligations and shall take all reasonable steps to minimize further costs.

Within thirty (30) days of CLIENT's receipt of CONSULTANT's final billing following termination, CLIENT shall pay CONSULTANT for: (a) all allowable costs incurred prior to the effective termination date; and (b) reasonable demobilization costs documented and approved by CLIENT's Contract Manager. CONSULTANT shall not be entitled to lost profits or anticipatory damages.

5.2 Termination for Cause

CLIENT may terminate this Agreement immediately upon written notice for cause, including but not limited to: (a) CONSULTANT's material breach of any provision of this Agreement that remains uncured for fifteen (15) days following written notice; (b) CONSULTANT's insolvency, bankruptcy, or assignment for the benefit of creditors; or (c) CONSULTANT's commission of fraud, gross negligence, or willful misconduct.

Upon termination for cause, CLIENT may retain and use all work products and deliverables produced to date without additional compensation and may recover from CONSULTANT any excess procurement costs incurred.

6. INDEMNIFICATION, DEFENSE, AND HOLD HARMLESS

CONSULTANT shall, to the fullest extent permitted by law, exonerate, indemnify, defend (with counsel reasonably acceptable to CLIENT), and hold harmless CLIENT and its officers, directors, employees, agents, volunteers, successors, and assigns (collectively, "Indemnified Parties") from and against any and all claims, demands, losses, liabilities, damages, costs, and expenses (including reasonable attorneys' fees and court costs) of any kind or nature whatsoever arising out of or relating to:

- CONSULTANT's performance or failure to perform the Services under this Agreement;
- Any negligent, reckless, or willful act or omission of CONSULTANT or its subconsultants, agents, or employees;
- Any breach by CONSULTANT of any representation, warranty, or obligation under this Agreement;
- Any claims by CONSULTANT's employees or subconsultants arising out of or relating to the Services, including but not limited to unemployment insurance, social security, payroll tax, and workers' compensation obligations.

This indemnification obligation shall survive the termination or expiration of this Agreement and shall not be limited by any insurance coverage maintained by CONSULTANT.

7. INSURANCE REQUIREMENTS

CONSULTANT shall, at its sole cost and expense, for the full term of this Agreement and any extensions thereof, obtain and continuously maintain the following minimum insurance coverage:

1. Commercial General Liability: \$2,000,000 per occurrence / \$4,000,000 aggregate, including premises and operations, products and completed operations, personal injury, broad form property damage, contractual liability, and cross-liability.
2. Automobile Liability: \$1,000,000 combined single limit covering all owned, non-owned, and hired vehicles.
3. Workers' Compensation: Statutory limits as required by California law, plus Employer's Liability at \$1,000,000 per occurrence.
4. Professional Liability (Errors & Omissions): \$1,000,000 per claim / \$2,000,000 aggregate, maintained for a minimum of three (3) years following final completion of the Services.

All policies shall name CLIENT as an Additional Insured. CONSULTANT shall furnish certificates of insurance evidencing required coverage within ten (10) days of execution of this Agreement and within five (5) days of any renewal or replacement. Any deductibles or self-insured retentions (SIR) shall be the sole responsibility of CONSULTANT and shall be paid within five (5) business days of demand.

8. WORK PRODUCTS AND INTELLECTUAL PROPERTY

All materials, data, information, reports, drawings, specifications, and other written, graphic, or electronic work produced or developed by CONSULTANT under this Agreement (collectively, "Work Products") shall be considered works made for hire. CLIENT shall have the unqualified, unconditional, and irrevocable right to use, reproduce, publish, display, distribute, modify, and make derivative works of all Work Products for any purpose, without additional compensation to CONSULTANT.

CONSULTANT hereby assigns and transfers to CLIENT all intellectual property rights in and to the Work Products, including all copyrights, patents, trade secrets, and other proprietary rights. CONSULTANT shall execute any documents reasonably requested by CLIENT to effectuate or confirm such assignment.

CONSULTANT shall acknowledge in all reports, publications, and literature that Work Products are prepared for and on behalf of CLIENT. CONSULTANT shall not use CLIENT's name, logo, or Work Products for marketing, promotional, or any other purposes without CLIENT's prior written consent.

9. INDEPENDENT CONTRACTOR STATUS

The parties expressly acknowledge and agree that CONSULTANT is an independent contractor and not an employee, agent, partner, or joint venturer of CLIENT. CONSULTANT shall have the right to control the manner and means of accomplishing the Services contracted for, subject to the requirement that the results meet CLIENT's specifications.

CONSULTANT shall be solely responsible for:

- Payment of all federal, state, and local income taxes, self-employment taxes, and other taxes applicable to CONSULTANT's compensation under this Agreement.
- Maintenance of all required business licenses, professional certifications, and regulatory permits.
- Provision of all employee benefits, workers' compensation, unemployment insurance, and other employment-related obligations for CONSULTANT's personnel.
- Compliance with all applicable labor and employment laws with respect to CONSULTANT's employees and subconsultants.

10. RETENTION AND AUDIT OF RECORDS

For the purpose of determining compliance with applicable law and the terms of this Agreement, CONSULTANT and all subconsultants shall maintain complete and accurate books, accounts, records, and other documentation pertaining to the performance of the Services, including all costs of administration, for a minimum period of five (5) years following the date of final payment under this Agreement.

CLIENT, the State of California, the Federal Highway Administration (FHWA), and their authorized representatives shall have the right, upon reasonable notice, to review, inspect, audit, and copy any and all such records at any reasonable time during CONSULTANT's normal business hours. CONSULTANT shall cooperate fully with any such audit and shall provide requested records within five (5) business days of written request.

11. DISPUTE RESOLUTION

This Agreement shall be governed by and construed in accordance with the laws of the State of California, without regard to its conflict of law provisions. Any dispute, claim, or controversy arising out of or relating to this Agreement shall be resolved as follows:

- 1. Meet and Confer:** The parties shall first attempt to resolve any dispute through good-faith negotiation. Either party may initiate this process by providing written notice identifying the dispute in reasonable detail.
- 2. Mediation:** If negotiation fails to resolve the dispute within thirty (30) days, the parties shall submit the dispute to non-binding mediation before a mutually agreed-upon mediator in San Francisco, California.
- 3. Litigation:** If mediation is unsuccessful, either party may pursue its rights and remedies in the Superior Court of California, County of San Francisco. **THE PARTIES HEREBY WAIVE ANY RIGHT TO TRIAL BY JURY.**

Pending final resolution of any dispute, CONSULTANT shall proceed diligently with the performance of this Agreement and shall comply fully with CLIENT's instructions unless directed otherwise by a court of competent jurisdiction.

12. GENERAL PROVISIONS

12.1 Non-Assignment

CONSULTANT shall not assign, transfer, delegate, or subcontract any rights or obligations under this Agreement without the prior written consent of CLIENT, which consent may be withheld in CLIENT's sole discretion. Any purported assignment without such consent shall be null and void.

12.2 Subcontracting

CONSULTANT shall perform all Services using resources available within its own organization. No portion of the Services shall be subcontracted without prior written authorization by CLIENT's Contract Manager. Authorized subcontracts shall incorporate all applicable terms and conditions of this Agreement by reference.

12.3 Equal Employment Opportunity

CONSULTANT shall comply with all applicable federal and state equal employment opportunity laws and regulations, including Executive Order 11246, as amended, and applicable California Government Code provisions. CONSULTANT shall not discriminate against any employee or applicant on the basis of race, color, religion, sex, national origin, age, disability, veteran status, sexual orientation, gender identity, or any other protected classification.

12.4 Modification of Agreement

This Agreement may be amended or modified only by a written instrument signed by duly authorized representatives of both parties. CONSULTANT shall not commence work under any amendment until the amendment has been fully executed and CONSULTANT has received written notification to proceed from CLIENT's Contract Manager.

12.5 Entire Agreement

This Agreement, together with all exhibits and attachments incorporated herein by reference, constitutes the entire agreement between the parties with respect to the subject matter hereof and supersedes all prior negotiations, representations, warranties, and understandings of any kind. In the event of any conflict between this Agreement and any exhibit, the terms of this Agreement shall control.

12.6 Severability

If any provision of this Agreement is found to be invalid, illegal, or unenforceable, the remaining provisions shall continue in full force and effect. The parties shall negotiate in good faith to replace any invalid provision with a valid provision that achieves substantially the same economic and legal result.

12.7 Anti-Bribery and Ethics

CONSULTANT warrants that this Agreement was not obtained or secured through rebates, kickbacks, or other unlawful consideration, either promised or paid to any officer, director, employee, or agent of CLIENT. For breach or violation of this warranty, CLIENT shall have the right to terminate this Agreement for cause and to recover from CONSULTANT the full amount of any such payment plus damages.

12.8 Notices

All notices, demands, and communications under this Agreement shall be in writing and shall be served by: (a) personal delivery; (b) nationally recognized overnight courier; or (c) registered or certified mail, return receipt requested, postage prepaid, to the addresses set forth on the signature page. Notices shall be effective upon personal delivery or, if mailed, three (3) business days after deposit.

SUMMONS

(CITACION JUDICIAL)

TO THE DEFENDANT MERIDIAN CONSULTING PARTNERS, LLC:

YOU ARE BEING SUED BY THE PLAINTIFF NEXUS INFRASTRUCTURE GROUP, INC. The Court may decide against you without your being heard unless you respond within the time specified below.

RESPONSE DEADLINE: April 10, 2025 (30 days from service)

HEARING DATE: April 22, 2025, at 9:00 A.M.

COURT: Superior Court of California, County of San Francisco, Department 14

ADDRESS: 400 McAllister Street, San Francisco, CA 94102

ALLEGATIONS AND RELIEF SOUGHT

Plaintiff alleges that Defendant materially breached the Professional Services Agreement dated March 1, 2025 by:

1. Failing to deliver Phase 1 feasibility assessment by the contractually agreed deadline of June 30, 2025, causing PROJECT delays and financial harm to CLIENT.
2. Submitting invoices for services not rendered, totaling an estimated \$142,500.00 in disputed charges.
3. Disclosing CLIENT's proprietary project data and trade secrets to a competing firm in violation of Section 8 and applicable trade secret law.
4. Abandoning the project without notice or cause on November 15, 2025, causing CLIENT to incur emergency reprourement costs of approximately \$185,000.00.

PLAINTIFF SEEKS THE FOLLOWING RELIEF:

- Compensatory damages in the amount of \$485,000.00 for breach of contract, including project delays, overbilling, and reprourement costs.
- Consequential damages for lost business opportunities resulting from project delays, in an amount to be proven at trial.
- Injunctive relief restraining Defendant from further disclosure of Plaintiff's proprietary information.
- Attorneys' fees and costs of suit pursuant to the Agreement and applicable California law.
- Pre- and post-judgment interest at the legal rate.

- Such other and further relief as the Court may deem just and proper.

SIGNATURES

NEXUS INFRASTRUCTURE GROUP, INC.

Plaintiff / Client

MERIDIAN CONSULTING PARTNERS, LLC

Defendant / Consultant

Signature

Signature

Name & Title

Name & Title

Date

Date

Attorney for Plaintiff:

James R. Holloway, Esq. Holloway & Crane LLP 580 California Street, 12th Floor San Francisco, CA 94104 Tel: (415) 772-0400 Bar No.: 198847

Court Clerk:

Issued by the Clerk of the Superior Court County of San Francisco
Date of Issue: March 14, 2025 Clerk's Seal: _____

THIS DOCUMENT IS CONFIDENTIAL AND LEGALLY PRIVILEGED. UNAUTHORIZED DISCLOSURE IS PROHIBITED.

If you have received this document in error, please notify the issuing attorney immediately and destroy all copies.

Prepared by: Holloway & Crane LLP | File Ref: NIG-2025-MC-4471 | Version: Final — March 14, 2025